Summary A number of countries in Sub-Saharan Africa (SSA) have a comparative advantage in cotton production. In the last twenty years, the share of SSA in world cotton exports increased from 6.9 percent to 17.3 percent. The increase was modest (from 2.0 to 2.1 percent) in Ghana, Tanzania and Zimbabwe, but it was very large (from 2.4 to 9.4 percent) in Benin, Burkina Faso, Côte d'Ivoire and Mali. Following the crises encountered by several public monopolies, reforms were undertaken to improve the competitive position of the cotton sectors. However, as shown in this report, not all reforms were successful. In the Francophone countries, there was no competition on price paid to growers, but the ginning and input sectors have been privatized to various degrees in the last ten years. Reforms are much more advanced in Benin than in Burkina Faso, but results were no better in Benin; as a matter of fact, following the devaluation of the CFA franc in January 1994, production increased faster in Burkina Faso than in Benin. In the three Anglophone countries, the cotton sector has been liberalized since 1985 in Ghana, 1994 in Tanzania, and 1995 in Zimbabwe. The liberalization was initially a success, but it did not last. In Ghana and Tanzania, production and yields are now lower than they were ten years ago. In Burkina Faso, SOFITEX still has a monopoly for the purchase of seed cotton, but producers acquired 30 percent of the company's shares in 1999 and obtained a majority in the committee responsible for the selection of input bids. Producers participate in the management of the sector and relations between various stakeholders are good; however, producers' associations remain fragile. In Côte d'Ivoire, the CIDT was split into three companies of comparable size in 1998 and, after a two-year transition period, the two new private companies and the remaining part of the CIDT have been operating independently. One of the two new companies was managed better than the old CIDT, but the other was not. Conflicts among stakeholders were frequent; they were fuelled by the north-south political conflict which became open conflicts toward the end of 2002 and led to a confused situation in 2003. In Benin, privatization started with the provision of inputs in 1992 and included ginning in 1995. The sequence of measures was not always well designed and a number of problems soon emerged. Most of those have now been solved, notably by establishing a clearing house for all financial transactions of the sector (CSPR); but the sector remains heavily regulated. Producer prices are fixed for the entire country and announced at the beginning of the marketing season, as in the past. With eight cotton companies, surplus ginning capacities, and no competition to clear the market, a new distribution system had to be designed. As a result, a professional association[1] allocates quotas to each company on the basis of its installed capacity, and each company is told where to buy its cotton. In Ghana, the cotton sector was liberalized in 1985 and this had a stimulating effect. However, production reached a peak in 1998/99 and declined steadily afterward. Free entry led to widespread poaching and the virtual collapse of input credits.[2] In March 2002, Ghana had 12 cotton companies with three more applying for registration while the production of seed cotton had fallen to 15,000

1 L'Association Interprofessionnelle du Coton (ACI) includes all major stakeholders of the cotton sector: input suppliers, producers' associations, ginneries, manufacturers and transporters.

2 Poaching is a way of selling seed cotton without clearing the input credit obtained for producing the seed cotton.